



SPONSOR: Sen. Brown & Rep. Burns
Sens. Hoffner, Walsh

DELAWARE STATE SENATE
153rd GENERAL ASSEMBLY

SENATE BILL NO. 26

AN ACT TO AMEND TITLE 19 OF THE DELAWARE CODE RELATING TO UNEMPLOYMENT
COMPENSATION.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Amend § 3314, Title 19 of the Delaware Code by making deletions as shown by strike through and
insertions as shown by underline as follows:

§ 3314. Disqualification for benefits.

An individual shall be disqualified for benefits:

(4) ~~For any~~ Except as provided by paragraph (4)b. of this section, before the third week with respect to which
the Department finds that the individual's total or partial unemployment is due to a stoppage of work which exists
because of a labor ~~dispute (other than a lockout) dispute, other than a lockout,~~ at the factory, ~~establishment~~
establishment, or other premises at which the individual is or was last employed.

a. For purposes of this paragraph, a lockout exists when: when all of the following apply:

~~a. 1.~~ 1. The contract between the employing unit and the individual's bona fide labor organization has
expired and contract negotiations are ~~continuing; continuing.~~

~~b. 2.~~ 2. The individual, through a bona fide labor organization, has offered to continue working for a
reasonable time under the preexisting terms and conditions of employment so as to avert a work stoppage
pending the final settlement of the contract ~~negotiations; and negotiations.~~

~~e. 3.~~ 3. The employing unit has refused to permit work to continue and maintain the status quo for a
reasonable time pending further negotiations.

b. An individual is not disqualified for benefits before the third week with respect to which the
Department finds that the individual's total or partial unemployment is due to a stoppage of work which exists
because of a labor dispute, other than a lockout, if 1 or more of the following applies:

1. The labor dispute is caused by the failure or refusal of the employer to comply with an agreement
or contract between the employer and the individual, including a collective bargaining agreement with a union
representing the individual, or a State or federal law pertaining to hours, wages, or other conditions of work.

23 2. The employer hires a permanent replacement worker for the individual's position.

24 A. A replacement worker is presumed to be permanent unless the employer certifies in writing
25 that the individual will be able to return to the individual's prior position on conclusion of the labor
26 dispute, if the labor dispute terminates before the conclusion of the individual's eligibility for benefits
27 under this chapter.

28 B. If, after the certification under paragraph (4)b.2.A. of this section, the employer does not
29 permit the individual to return to the individual's prior position, the individual is qualified for, and may
30 recover, benefits lost during the period the individual was disqualified for benefits, and the Department
31 may impose a penalty on the employer of up to \$750 per employee per week of benefits lost. The
32 Department shall deposit the penalty collected under this paragraph (4)b.2.B. into the Special
33 Administration Fund established under § 3166 of this title.

SYNOPSIS

Under current Delaware law, if a labor dispute constitutes a lockout, employees who meet all other eligibility requirements qualify for unemployment benefits from the date they file their claim. However, if a labor dispute does not constitute a lockout, employees do not qualify for (i.e. are disqualified from receiving) unemployment benefits.

This Act changes the law to allow an employee who is subject to a labor dispute, other than a lockout, to collect unemployment benefits after a 2-week waiting period, if the employee meets all the eligibility requirements for unemployment benefits, including being able and available for work and completing weekly job requirements.

This Act provides that the 2-week waiting period established by this Act is waived if one or both of the following apply:

(1) The labor dispute is caused by the failure or refusal of the employer to comply with an agreement or contract between the employer and the individual, including a collective bargaining agreement with a union representing the individual, or a State or federal law pertaining to hours, wages, or other conditions of work.

(2) The employer hires a permanent replacement worker for the individual's position.

The Department of Labor may impose a penalty on an employer who fraudulently certifies the ability of an employee to return to the employee's prior position on conclusion of the labor dispute.

This Act also makes technical corrections to conform existing law to the standards of the Delaware Legislative Drafting Manual.

Author: Senator Brown